Business Requirements Document (BRD)

Arati Business ERP

Document Version: 1.0
Status: Draft / Requirements Baseline
Document Type: Business Requirements Document
Project: Arati Business ERP
Primary Business: Distribution + Wholesale + Retail
Accounting Integration: TallyPrime
Priority: ERP Software First; Public Website Later

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1. Executive Summary

Arati Business ERP is a web-based business management system intended to centralize and streamline the operational activities of a distribution, wholesale, and retail business.

The system will provide a unified platform for procurement, product and party management, inventory, sales, purchasing, payments, fulfilment, reporting, and business administration.

The ERP will be designed as a **generic and configurable business platform**, not as software hard-coded for any particular brand, supplier, product category, or business relationship.

Arati Refrigeration will be the initial business implementation and primary requirements reference.

The ERP will integrate with TallyPrime for accounting and financial synchronization rather than attempting to replace a mature accounting system in the initial release.

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2. Business Background

The business operates across multiple commercial activities, including distribution, wholesale, and retail.

This creates a need to manage:

- Products from multiple brands and suppliers

- Inventory entering and leaving the business
- Retail customers
- Wholesale and dealer customers
- Supplier relationships
- Different pricing structures
- Credit sales and outstanding balances
- Product returns
- Deliveries and fulfilment
- Financial transactions
- Accounting synchronization with TallyPrime

A centralized ERP will reduce dependence on disconnected/manual processes and provide a consistent view of business operations.

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3. Business Problem

The business requires a reliable system that can answer, at any point:

- What products do we have?
- How much stock is available?
- Where is the stock?
- Where did the stock come from?
- Where did the stock go?
- Which products are sold through retail versus wholesale/dealer channels?
- How much does each customer/dealer owe?
- How much is payable to suppliers?
- What has been purchased and sold?
- Which transactions have been synchronized with TallyPrime?
- What is happening operationally across the business?

The system must provide traceability rather than relying only on manually maintained current balances.

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4. Business Objectives

4.1 Centralize Operations

Create one operational system for products, parties, purchases, inventory, sales, payments, fulfilment, and reporting.

4.2 Improve Inventory Accuracy

Maintain a complete and auditable record of stock movements.

4.3 Support Multiple Sales Channels

Support retail, wholesale, and dealer sales using a common product and inventory system.

4.4 Improve Receivables and Payables Visibility

Provide clear information about money owed by customers/dealers and money owed to suppliers.

4.5 Integrate with TallyPrime

Synchronize appropriate business transactions with TallyPrime while keeping ERP operations independent of Tally availability.

4.6 Improve Management Decision-Making

Provide useful operational dashboards and reports.

4.7 Support Business Growth

Allow the system to grow to additional products, users, branches, warehouses, and business relationships without fundamental redesign.

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5. Product Vision

The long-term vision is to build a robust, scalable ERP that can manage the complete operational lifecycle of a distribution, wholesale, and retail business.

The system should be generic enough that business-specific information is represented through configuration and master data rather than hard-coded business logic.

Core principle

> The ERP manages operational truth; TallyPrime manages accounting truth.

The ERP should know what physically and operationally happened.

TallyPrime should receive the relevant financial transactions and remain the accounting system of record.

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6. Business Model

The ERP shall support the following business channels:

Distribution

Products are procured from suppliers/brands and distributed to business customers/dealers.

Wholesale

Products are sold in larger quantities to business customers.

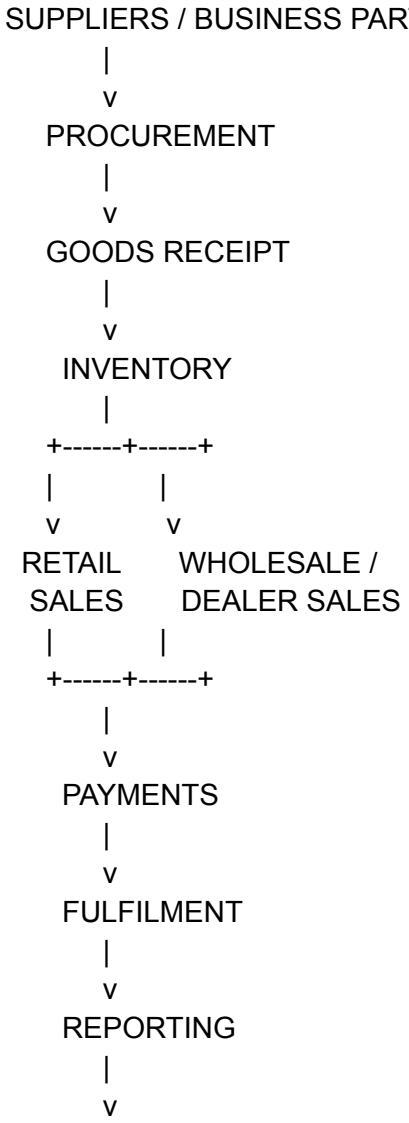
Retail

Products are sold directly to end customers through the retail operation/POS.

These channels must share the same underlying product, party, inventory, pricing, and transaction infrastructure.

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7. High-Level Business Flow



8. Stakeholders

Stakeholder	Primary Responsibility
Business Owner	Business decisions, approvals, oversight
Administrator	System configuration and administration
Manager	Operational supervision
Sales Staff	Retail and business sales
Inventory Staff	Stock handling and inventory operations
Accountant	Payments and accounting coordination
Delivery Staff	Delivery and fulfilment
Development Team	Software development and maintenance

9. Business Requirements

BR-001 — Centralized Business Management

The system shall provide a centralized platform for managing core business operations.

BR-002 — Generic Product Support

The system shall support products from any brand, category, supplier, or product type without hard-coded dependencies.

BR-003 — Multi-Channel Sales

The system shall support retail, wholesale, and dealer sales.

BR-004 — Centralized Inventory

All sales channels shall operate against a common inventory system.

BR-005 — Inventory Traceability

Every stock movement shall be traceable to a business transaction or approved adjustment.

BR-006 — Product Tracking

The system shall support quantity-based, serialized, and batch-based inventory tracking.

BR-007 — Party Management

The system shall manage customers, dealers, suppliers, and other business parties.

A party may have multiple roles.

BR-008 — Procurement Management

The system shall support procurement from suppliers through purchase-related workflows.

BR-009 — Sales Management

The system shall support retail and business-to-business sales workflows.

BR-010 — Flexible Pricing

The system shall support different prices for different sales channels, parties, quantities, and promotions.

BR-011 — Credit Management

The system shall support credit sales, credit limits, payment terms, and outstanding balances.

BR-012 — Payment Management

The system shall support cash, bank, UPI/digital payment, card, cheque, credit, advances, and partial payments as applicable.

BR-013 — Returns

The system shall support sales returns and purchase returns.

BR-014 — Return Inspection

Returned products shall be capable of being classified as resalable, damaged, repair-required, or otherwise disposed.

BR-015 — Delivery

The system shall support delivery and fulfilment status tracking.

BR-016 — Warranty

The system shall support warranty information associated with applicable products, serial numbers, and sales transactions.

BR-017 — Reporting

The system shall provide operational, inventory, party, sales, purchase, payment, and management reports.

BR-018 — Auditability

Critical business actions shall be recorded in an audit trail.

BR-019 — User Access Control

The system shall support role-based and permission-based access.

BR-020 — TallyPrime Integration

The system shall synchronize appropriate operational/financial transactions with TallyPrime.

BR-021 — Tally Independence

Tally synchronization failure shall not prevent normal ERP operations.

BR-022 — Synchronization Tracking

The system shall provide synchronization status, error handling, retry, and reconciliation capabilities.

BR-023 — Multi-Location Readiness

The system shall be capable of supporting multiple branches and warehouses.

BR-024 — Configurability

Business-specific information such as brands, categories, parties, prices, warehouses, and tax configurations shall be configurable.

BR-025 — Future Extensibility

The architecture and business model shall allow future modules to be added without major redesign.

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10. Core Business Domains

The ERP shall be organized around these business domains:

10.1 Master Data

- Products
- Brands
- Categories
- Subcategories
- Units
- Tax configuration
- Price lists
- Branches
- Warehouses

10.2 Party Management

- Customers
- Dealers
- Suppliers
- Other business partners
- Party roles
- Credit limits
- Payment terms

10.3 Procurement

- Purchase orders
- Goods receipt
- Purchase invoices
- Purchase returns
- Supplier payments

10.4 Inventory

- Opening stock
- Stock inward
- Stock outward
- Stock movement ledger
- Serial tracking
- Batch tracking
- Stock adjustments
- Stock transfers
- Stock valuation
- Reorder/low-stock alerts

10.5 Sales

- Retail POS
- Wholesale sales
- Dealer sales
- Quotations
- Sales orders
- Sales invoices
- Sales returns

10.6 Payments

- Receipts
- Supplier payments
- Customer/dealer payments
- Advances
- Partial payments
- Payment allocation
- Outstanding balances

10.7 Fulfilment

- Delivery
- Installation where applicable
- Warranty
- Service requests

10.8 Reports & Analytics

- Sales
- Purchases
- Inventory
- Parties
- Payments
- Outstanding

- Management analytics

10.9 Administration

- Users
- Roles
- Permissions
- Approvals
- Audit logs
- System settings

10.10 Tally Integration

- Master mapping
- Voucher mapping
- Sync queue
- Retry
- Error handling
- Reconciliation
- Sync logs

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11. Inventory Business Model

Inventory is the central operational engine.

Stock In Sources

- Purchase
- Customer return
- Stock transfer in
- Opening stock
- Approved adjustment

Stock Out Reasons

- Retail sale
- Wholesale/dealer sale
- Purchase return
- Stock transfer out
- Damage
- Internal use
- Approved adjustment

Business Rule

> Stock shall never be silently modified. Every change must have a transaction or an approved adjustment with a reason.

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12. Product Tracking

Products shall support different tracking methods.

Quantity Tracking

Used when individual physical units do not need unique identification.

Serial Tracking

Used where each physical unit needs an individual identity.

The system should be able to associate a serial number with:

- Product/model
- Purchase
- Warehouse/location
- Sale
- Customer/party
- Warranty
- Return

Batch Tracking

Used where batch-level information is relevant.

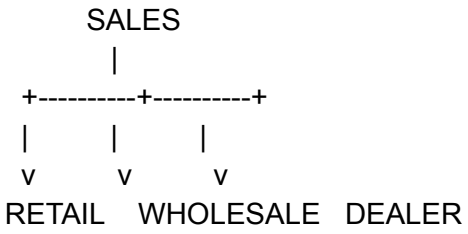
Possible batch information:

- Batch number
- Manufacturing date
- Expiry date
- Quantity

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13. Sales Business Model

All sales should use a common sales engine.



The differences between channels should primarily be determined by:

- Sale type
- Party
- Price list
- Payment terms
- Credit rules
- Applicable business policies

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14. Pricing Requirements

The system shall support multiple price lists.

Examples:

- Retail
- Wholesale
- Dealer
- Promotional
- Party-specific

Pricing may depend on:

- Product
- Party
- Sale type
- Quantity
- Effective date
- Promotion
- Discount

The product's base data should not be modified simply because a particular customer receives a different price.

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15. Purchase Business Model

Standard purchase flow:

PURCHASE ORDER
|
v
GOODS RECEIPT
|
v
STOCK VERIFICATION
|
v
SERIAL/BATCH CAPTURE
|
v
PURCHASE INVOICE
|
v
SUPPLIER PAYABLE
|
v
PAYMENT

The system should allow simpler workflows when the business does not require every step.

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16. Payment Business Model

Payments shall be treated as independent financial events.

A payment may be allocated against one or multiple transactions.

Example:

Payment Received: ₹100,000

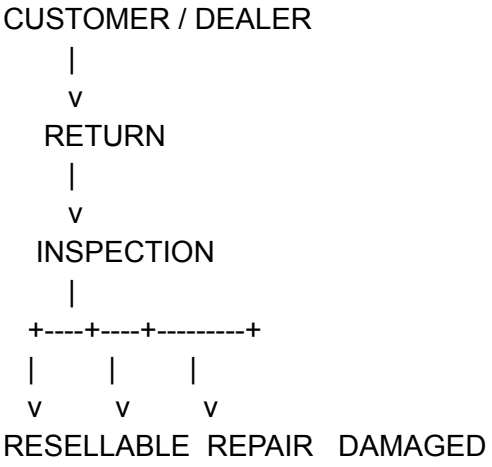
Invoice A: ₹40,000
Invoice B: ₹35,000
Invoice C: ₹25,000

The system shall maintain payment allocation and outstanding balances.

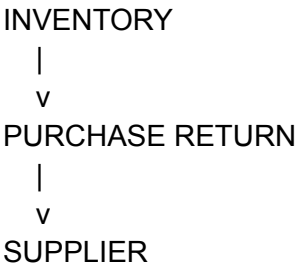
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17. Returns Business Model

Sales Return



Purchase Return



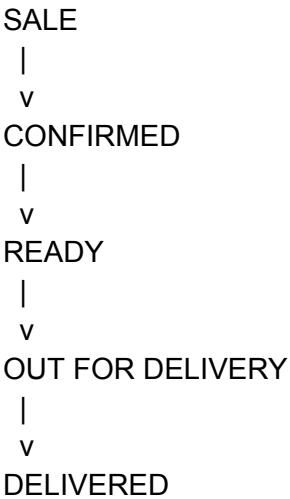
Returns should reference the original transaction where possible.

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18. Delivery and Fulfilment

Where applicable, sales may have fulfilment requirements.

Standard workflow:



Installation may be handled as an optional downstream workflow.

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19. TallyPrime Integration

TallyPrime shall be integrated as the accounting system while the ERP remains the operational system.

ERP Responsibilities

- Products
- Inventory
- Sales operations
- Purchase operations
- Parties
- Delivery
- Warranty
- Operational reports

TallyPrime Responsibilities

- Accounting records
- Financial books
- Accounting ledgers
- GST/accounting workflows
- Financial reporting

Initial Synchronization

The initial integration should support appropriate:

- Party/ledger mapping
- Product/stock item mapping
- Sales vouchers
- Purchase vouchers
- Receipt vouchers
- Payment vouchers

The exact voucher and field mapping shall be defined in the Tally Integration Specification.

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20. Tally Synchronization Requirements

The system shall provide:

- Connection configuration
- Master mapping
- Voucher mapping
- Sync queue
- Sync status
- Retry mechanism
- Error logging
- Duplicate prevention
- Manual re-sync
- Reconciliation
- Sync history

Suggested statuses:

PENDING
PROCESSING
SYNCED
FAILED
RETRYING

A failed Tally synchronization must not delete or invalidate the original ERP transaction.

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21. User Roles

Initial roles may include:

- Owner
- Administrator
- Manager
- Sales Staff
- Inventory Manager
- Accountant
- Delivery Staff

Roles should be configurable rather than permanently hard-coded.

Permissions should be granular.

Examples:

- Product view

- Product create
- Product edit
- Sale create
- Sale cancel
- Inventory adjust
- Payment create
- Report view
- User management

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22. Audit Requirements

The system shall maintain an audit trail for critical actions.

The audit record should capture, where appropriate:

- User
- Action
- Date/time
- Record affected
- Previous value
- New value
- Reason
- Related transaction

Critical records should not be silently deleted.

Cancellation/reversal mechanisms should be preferred for important transactions.

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23. Reporting Requirements

Sales Reports

- Daily sales
- Monthly sales
- Product-wise sales
- Category-wise sales
- Brand-wise sales
- Party-wise sales
- Retail vs wholesale/dealer sales

Inventory Reports

- Current stock
- Stock movement
- Warehouse-wise stock
- Low stock
- Stock valuation
- Stock ageing
- Fast-moving products
- Slow-moving products

Party Reports

- Customer ledger
- Dealer ledger
- Supplier ledger
- Receivables
- Payables
- Payment history

Purchase Reports

- Purchase history
- Supplier-wise purchases
- Product-wise purchases
- Purchase returns

Management Reports

- Revenue
- Sales trends
- Product performance
- Category performance
- Operational KPIs

Accounting-specific financial reports should primarily remain within TallyPrime unless a future ERP accounting module is introduced.

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24. Non-Functional Business Expectations

The ERP should be:

Reliable

Business transactions should not be lost.

Secure

Users should only access information and actions for which they have permission.

Fast

Daily operations such as product search and POS billing should be optimized for speed.

Scalable

The system should support future growth in:

- Products
- Users
- Transactions
- Branches
- Warehouses

Maintainable

The system should use modular architecture and clear documentation.

Auditable

Important business actions and transaction changes should be traceable.

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25. MVP Scope

The initial production MVP should contain:

Foundation

- Authentication
- Users
- Roles
- Permissions
- Organization
- Branch

- Warehouse

Master Data

- Parties
- Products
- Brands
- Categories
- Units
- Tax configuration
- Price lists

Inventory

- Opening stock
- Stock inward
- Stock outward
- Stock ledger
- Serial tracking
- Batch tracking
- Stock adjustment
- Stock transfer
- Stock valuation

Procurement

- Suppliers
- Purchase orders
- Goods receipt
- Purchase invoices
- Purchase returns

Sales

- Retail POS
- Wholesale/dealer sales
- Quotations
- Sales orders
- Invoices
- Sales returns

Payments

- Receipts
- Payments

- Advances
- Outstanding
- Payment allocation

Tally

- Master mapping
- Sales synchronization
- Purchase synchronization
- Receipt synchronization
- Payment synchronization
- Sync queue
- Retry
- Reconciliation
- Logs

Reports

- Sales
- Purchases
- Inventory
- Outstanding
- Basic management dashboard

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26. Out of Scope for MVP

The following should not be allowed to delay the first production release:

- Full replacement for Tally accounting
- Payroll/HR
- Advanced CRM
- AI forecasting
- Native mobile application
- Public e-commerce
- Marketplace integrations
- Complex service management
- Advanced marketing automation
- Multi-company accounting

These may be considered after the core ERP proves stable in actual business use.

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27. Future Vision

After the core ERP is stable, future versions may include:

Phase 2

- Delivery management
- Installation management
- Warranty management
- Service tickets
- Advanced approval workflows
- Advanced analytics
- WhatsApp integration

Phase 3

- Mobile application
- AI-assisted inventory forecasting
- Advanced CRM
- More integrations
- Advanced multi-location features

Phase 4 — Commercial Product

The ERP may eventually be converted into a multi-tenant SaaS product supporting multiple businesses.

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28. Public Website

The public website is a separate project and is not part of the ERP MVP.

It may eventually include:

- Home
- About
- Products
- Brands
- Services
- Offers
- Contact
- Dealer enquiry
- Customer enquiry

The ERP should be a separate authenticated application.

PUBLIC WEBSITE
    |
    v
PUBLIC / MARKETING CONTENT

ERP APPLICATION
    |
    v
AUTHENTICATED BUSINESS OPERATIONS

The website may consume selected ERP data through controlled APIs in the future.

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29. Business Success Criteria

The ERP will be considered successful when the business can:

1. Maintain a centralized product catalog.
2. Track inventory accurately.
3. Record purchases and stock inward.
4. Perform retail sales.
5. Perform wholesale/dealer sales.
6. Track serialized and batch products where required.
7. Manage customers, dealers, and suppliers.
8. Track receivables and payables.
9. Manage partial and multiple payments.
10. Process returns.
11. Track fulfilment where applicable.
12. Generate useful operational reports.
13. Synchronize required transactions with TallyPrime.
14. Identify and resolve failed Tally synchronization.
15. Control employee access through roles and permissions.
16. Maintain an audit trail for critical operations.
17. Support future business expansion without fundamental redesign.

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30. Key Product Principles

The following principles shall guide future requirements and development decisions.

Principle 1 — Generic by Design

Do not hard-code specific brands, suppliers, or product categories.

Principle 2 — Inventory First

Inventory is the central operational engine.

Principle 3 — One Transaction, One Source

Avoid duplicate transaction systems for retail and wholesale.

Principle 4 — Traceability

Every important operational change must be explainable.

Principle 5 — ERP Independence

The ERP must continue operating even when an external integration is unavailable.

Principle 6 — Tally Integration, Not Tally Replacement

Do not rebuild full accounting unnecessarily in the MVP.

Principle 7 — Configurable Business Rules

Prices, roles, tax rules, warehouses, and other business-specific settings should be configurable.

Principle 8 — Avoid Premature Complexity

Only build features that provide meaningful business value in the current phase.

Principle 9 — Future Ready, Not Future Bloated

Design the foundation for expansion without implementing every future feature in Version 1.

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31. Dependencies

The project depends on decisions and information that must be finalized during the SRS stage:

- Actual business workflows
- Existing purchase process
- Existing sales process
- Current inventory process
- Credit and payment practices
- GST requirements
- Product/serial tracking requirements

- Warehouse structure
- TallyPrime configuration
- User roles
- Invoice requirements
- Reporting requirements

These details shall be refined before the SRS and database schema are finalized.

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32. Assumptions

Current assumptions:

1. The ERP will initially be web-based.
2. Arati Refrigeration is the first implementation.
3. The software will support both retail and business-to-business sales.
4. Inventory is a core requirement.
5. TallyPrime will remain the accounting platform initially.
6. The ERP will be designed generically rather than for specific brands.
7. A public website will be developed separately after the ERP foundation is stable.
8. The initial system will prioritize operational reliability over feature volume.

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33. Approval & Change Control

This BRD is the business baseline.

Changes after approval should be documented rather than silently modifying requirements.

Each significant change should record:

- Requirement affected
- Reason for change
- Business impact
- Technical impact
- Priority
- Decision
- Date
- Approver

The BRD should be updated only when the business requirements themselves change.

Detailed technical decisions belong in the SRS, Architecture, Tech Stack, Design, Database, and Integration documents.